

RESERVE BANK OF INDIA

DEPARTMENT OF REGULATION, CENTRAL OFFICE, MUMBAI

RBI/2024-25/150 DOR.CRE.REC.11/21.01.005/2024-25

September 28, 2024

Framework for Acceptance of Green Deposits by Regulated Entities

1. Scope and Currency Denomination: All scheduled commercial banks and deposit-taking NBFCs accepting green deposits must accept such deposits denominated strictly in Indian Rupees (INR). Green deposits cannot be offered in foreign currency or under FCNR (B) deposits.
2. Eligible Green Activities: Proceeds mobilized through green deposits must be earmarked exclusively for projects in eligible green sectors: Renewable Energy (solar, wind, biomass), Clean Transportation (electric vehicles and charging infrastructure), Energy Efficiency, Sustainable Water and Waste Management, Green Buildings certified by national/international rating system, and Terrestrial Biodiversity Conservation.
3. Excluded Activities: Green deposit proceeds shall not be allocated to projects involving extraction, production, or distribution of fossil fuels, nuclear power generation, direct waste incineration, weapons, or tobacco cultivation.

4. Allocation Register and Third-Party Verification: REs must maintain a dedicated internal Green Deposit Allocation Register. The allocation of green deposit proceeds must be subjected to an independent third-party external verification / assurance on an annual basis by qualified environmental auditors.
5. Annual Impact Reporting: Regulated entities shall publish an Annual Impact Report on their website alongside their annual financial statements. The report must disclose metrics such as estimated greenhouse gas (GHG) emissions avoided, renewable energy installed, and energy savings achieved per unit of capital allocated.
6. Board-Approved Policy: Banks offering green deposits must have a policy approved by the Board defining the framework for allocation and tracking of funds.

7. Deposit Tenure and Pricing: Green deposits can be accepted as cumulative or non-cumulative term deposits with tenors ranging from twelve months to one hundred twenty months. The interest rate offered on green deposits shall be determined in accordance with the bank's overall Asset-Liability Management (ALM) framework.
8. Premature Withdrawal Rules: Premature withdrawal of green deposits shall be governed by existing regulatory guidelines applicable to standard term deposits, without retroactively penalizing the green classification of funds already deployed in eligible projects.
9. Green Hydrogen and Energy Storage: Capital expenditure for green hydrogen production, electrolyzers, and grid-scale battery storage systems (BESS) is explicitly eligible for allocation of green deposit proceeds.

10. Independent Auditor Certification: The statutory auditors of the bank shall verify the compliance of the bank with the green deposit framework and include a specific certification in the annual audit report.

11. Review by Board Committee: The progress of allocation of green deposit proceeds and the findings of third-party impact assessment shall be placed before the Board's Risk Management Committee semi-annually.

12. Misallocation Remediation: In the event that a funded project ceases to qualify under eligible green criteria, the allocated proceeds must be reallocated to another eligible project within ninety calendar days.

Yours faithfully,

(Neeraj Nigam)

Executive Director